

istry and the NHAI sitting on projects at a time when, as per the 11th Five-Year Plan, GDP spending in infrastructure is to be raised from the current 5 per cent to 10 per cent? About 20 per cent of the expenditure has to come from private players, says Gajendra Haldea, adviser to the deputy chairman, Planning Commission. That is not a worry, for according to Haldea, the Government is in a position to make huge investments in the NHDP.

The problem is dwindling private participation. Bidders have melted away, leaving projects stranded. According to MORTH secretary, Brahm Dutt, bidding for all these 60 projects were supposed to have been over by 2008. "But of the 35 auctioned last year, the Government has secured bids for only 16 projects. In six of these, only one company each has placed bids," admits Dutt. An embarrassed NHAI tries hard to explain that the economic slowdown in India has made it difficult to find bidders. "The funds crunch and high costs of borrowing have made road projects unviable for private players," explains Didar Singh, member-finance, NHAI.

Almost all companies are shelving their investment plans while players like Maytas Infra, Gammon and GMR Infra have simply stayed away despite being shortlisted. In fact, NHAI recently extended deadlines for several projects to February and March. Infrastructure experts argue that much of the private investment would flow into the economy if the NHAI were not to quibble about issues like qualification criteria for bidders last year. The norms permitted only five players for participating in the bidding process which was opposed by builders. The



BAALU (LEFT) WAS ACCUSED OF INTERFERING IN THE DAY-TO-DAY AFFAIRS OF THE NHAI

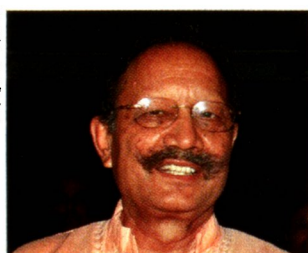
decision was reversed but precious time was lost in the process. More delays took place after the NHAI banned 17 contractors, including Askons, Dolomite and Essar, from bidding following the deteriorating quality of roads. The NHAI's own laxity is also costing the nation dear. About 30 per cent of land for the 30,000 km of road projects under the NHAI is yet to be acquired, thanks to disputes concerning land and forest clearance.

Part of the reason for the paralysis in the NHDP is also all too familiar; the so-called "system" and politics. The NHAI has had five chairmen in the past two-and-half-years with Union Minister of Surface Transport and Highways T.R. Baalu having been hauled up by the Delhi High Court for "day-to-day interference" in the affairs of the NHAI. Baalu's approach has made nonsense of the freedom given to the NHAI in 2003 to clear projects

without going to the Cabinet. The NHAI now has to get prior approval of projects from the Government's Public-Private Partnership (PPP) approval commission. Brijeshwar Singh, current NHAI chief, dismisses all talk of frequent changes of chairmen affecting NHDP progress as "flattering". "The success of the NHDP depends upon the choice of projects and the Government's ability to push them forward," says Singh.

It is not that solutions are hard to find. The NHAI has already decided to release the entire 40 per cent Viability Gap Funding, aimed at covering the difference between the economic and financial rate of return on a project, to private developers at one go. "The recent stimulus package, allowing India Infrastructure Finance Corporation Ltd to raise Rs 40,000 crore for projects has enough punch for kickstarting an entire array of PPP projects worth Rs 1,00,000 crore in the highways sector," says Amit Mitra, secretary-general, FICCI.

The bottom line, however, is that there are no shortcuts to progress. In the case of NHDP, it is a long and winding road, but reaching the destination is only possible if the Government narrows the distance between rhetoric and reality. ■



“ Work on the NHDP has been affected by a mental block in the present regime. They probably have this mindset that any progress would translate into credit for the NDA. ”

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